

₹5,000 crore,” he says. To back its plan, Godrej has invested close to ₹300 crore in the past three years to ramp up its manufacturing capacity and R&D, and another ₹60 crore to strengthen its online infrastructure. Currently, the company manufactures 75 per cent of its products in-house.

Then there is Pepperfry, which claims to be the largest home furnishings marketplace in the country in terms of product range and retail reach. It has its footprint across 500 towns, including 175 physical stores in 91 cities, and a strong online presence. According to Ashish Shah, Co-Founder & COO of Pepperfry, unlike many of its competitors, the company has set up studios in comparatively remote areas like the North-East—apart from larg-

er cities—that enables it to cater to customers who were otherwise unattended. To improve its margins, it has introduced seven private labels that now contribute 40 per cent towards its top line.

According to Shah, the dynamics of the market have changed significantly in the past 10 years since Pepperfry began its journey. “Earlier, when consumers used to buy furniture or cars, they expected to use them for over a decade. However, now there are consumers who are ready to change their furniture in five years. Coupled with this, promotional spend by brands like IKEA and Pepperfry is boosting consumers’ interest for branded home furnishings. Now people are talking about furniture. Earlier, nobody used to talk about

this category,” he says. Shah, who himself adores IKEA’s accessories, has done enough research to keep himself apprised on the potential threat.

Like Nagarkar, Shah refuses to panic from IKEA’s heavy spending. In spite of the buzz around the brand, he feels Pepperfry would remain immune to IKEA due to the latter’s weakness in the variety of materials offered in furniture. “Our motto is: don’t play God to the consumer. Show them as much variety as possible in terms of design, material and price range, and let them choose,” he says. Pepperfry offers furniture made of every popular material—from solid wood to particle boards. IKEA, however, he says, is heavily dependent on its engineered materials to keep costs in check.

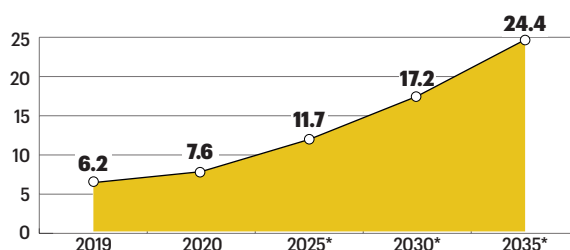


home furnishings giant IKEA, important

## GAINING STRENGTH

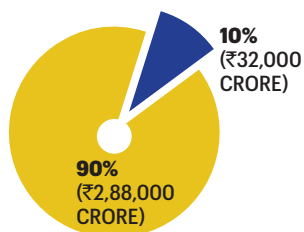
Demand for furniture is growing multifold in India

FIGURES IN \$ BILLION  
\*PROJECTION  
SOURCE PwC



## LOCAL SUPPORT

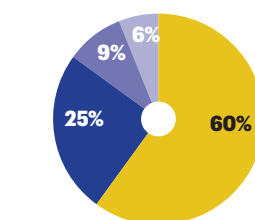
The furniture market continues to be dominated by local unbranded players



■ BRANDED PLAYERS ■ UNBRANDED PLAYERS  
MARKET SHARE IN PER CENT  
SOURCE INDIAN BRAND EQUITY FOUNDATION

## HOME RUN

Home furnishings is driving India’s furniture market growth



■ HOME ■ COMMERCIAL/OFFICE  
■ HOTELS/RESTAURANTS ■ OTHERS  
SOURCE INTERNATIONAL TRADE PROMOTION COUNCIL